Soudah Development

A PIF company · Soudah, Asir, and King Fahd Road, Riyadh · CR 1010000000 (fictional)

HR Policy Manual

Version 3 · approved by the Board HR Committee · effective 1 January 2026

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HR-01 Code of Conduct and Equal Opportunity

Policy owner: Chief Human Resources Officer · Version 2.1

1.2 Non-discrimination

Soudah treats all employees equally. It does not discriminate on the basis of sex, disability, age or any other form of discrimination in recruitment, pay, training, promotion or termination. Selection criteria must relate to the job.

1.4 Equal pay

Women and men receive equal pay for work of equal value. Pay decisions are reviewed for gaps by gender and nationality during each compensation cycle.

1.6 Raising a concern

An employee may raise a grievance with their line manager, their HR Business Partner, or confidentially through the HR case channel. Retaliation against anyone raising a concern in good faith is a disciplinary offence. An employee may also complain to the Ministry of Human Resources and Social Development.

HR-02 Workforce Planning and Recruitment

Policy owner: Talent Acquisition Lead · Version 2.3

2.1 Position approval

A new position at Soudah requires an approved budget line. The HR Business Partner and Finance approve every new position; the Chief Human Resources Officer also approves positions at grade G11 and above and any unbudgeted position.

2.3 Saudization priority

Soudah is classified under Nitaqat activity "Real estate development" and must keep at least 30% Saudi nationals to stay in its Medium Green band. Every requisition is posted on the Jadarat national job portal as well as Soudah channels. Qualified Saudi candidates who meet all must-have criteria are shortlisted.

2.5 Selection decisions

Shortlisting, interview outcomes and selection are decided by the recruiter, the hiring manager and the panel. AI tools may summarise evidence against the stated criteria but may not reject, rank or score a candidate.

2.7 Offers

Offers are made within the grade range. The HR Business Partner approves basic salary up to the grade midpoint; above the midpoint, or above the range, the Chief Human Resources Officer approves.

HR-03 Onboarding and Probation

Policy owner: HR Operations · Version 2.0

3.1 Pre-boarding

Before day one HR Operations issues the employment contract on Qiwa for the employee to accept, and registers the employee with GOSI from the start date. For expatriate joiners HR Operations also arranges the work visa, the medical examination, Muqeem registration and iqama issuance on arrival, and CCHI medical insurance at class B.

3.4 Probation period

Probation at Soudah is 200 days for every new employee. Eid al-Fitr and Eid al-Adha holidays and sick leave are not counted. The line manager confirms or ends employment before the probation end date, with the HR Business Partner.

3.5 Ending employment in probation

During probation either party may end the contract without notice, unless the contract gives one of them the right to notice. No end-of-service award or compensation is due. Salary to the last day and unused leave are paid in the final settlement.

HR-04 Leave

Policy owner: HR Operations · Version 3.2

4.1 Annual leave entitlement

Soudah employees earn 21 working days of paid annual leave a year, rising to 30 working days after five years of continuous service. The statutory minimum is 21 days, and 30 days after five years. Leave accrues monthly and is requested at least 10 working days ahead except in emergencies.

4.2 Carry-forward

Up to 5 days of unused annual leave may be carried into the next year with line-manager approval. Carried days must be used by 31 March. Days above the limit are not lost if the employee was unable to take them because of Soudah; HR Operations agrees a date with the employee.

4.3 Approval and team cover

The line manager approves leave. Requests that would leave a team below its minimum cover are referred back with alternative dates.

4.4 Air ticket every two years

Soudah provides expatriate employees with one economy return air ticket to their home country after every two years of service, for the employee only. It may be taken as a cash allowance at the published route rate. Saudi employees receive no ticket.

4.5 Sick leave

An employee with a medical certificate (issued through Seha) is entitled in any one year to 30 days of sick leave on full pay, the next 60 days on 75% of wage, and the next 30 days unpaid. Notify your manager on the first day of absence.

4.6 Maternity and paternity leave

Maternity leave is 12 weeks on full pay, starting up to four weeks before the expected birth date, and may be extended by one month unpaid. A father receives 3 days of paid paternity leave on the birth of a child. A nursing mother receives one hour a day of nursing break for 24 months.

4.7 Bereavement, marriage and Hajj

Paid leave is 5 days on the death of a spouse, parent or child, 3 days on the death of a brother or sister, and 5 days on the employee's marriage. Hajj leave is 10 to 15 days including Eid al-Adha, on full pay, once during service, for employees with at least two years of continuous service.

4.9 Unpaid leave

Unpaid leave may be granted by agreement between the employee and the line manager with HR approval. Unpaid days are deducted in payroll at monthly wage divided by 30. Unpaid leave of more than 20 days suspends the contract for that period unless agreed otherwise.

HR-05 Working Time

Policy owner: HR Operations · Version 2.1

5.1 Working hours

The working week at Soudah is 48 hours, Sunday to Thursday. Site, heritage and guest staff at Soudah work published rosters. No one is scheduled for more than 8 hours a day or 48 hours a week, excluding breaks.

5.2 Ramadan

During Ramadan working hours for Muslim employees are 6 hours a day, 36 hours a week.

5.3 Overtime

Overtime is open to site and guest staff and must be approved in advance by the line manager. Each overtime hour is paid at the hourly wage plus 50% of the basic hourly wage. Overtime may not exceed 30 hours a month. Work on the weekly rest day or a public holiday is overtime.

5.4 Public holidays

Paid public holidays are Founding Day (22 February), Eid al-Fitr (4 days), Eid al-Adha (4 days, starting on the Day of Arafah) and Saudi National Day (23 September). A holiday falling on a rest day is not replaced unless announced.

5.5 Attendance and lateness

Attendance is recorded on the attendance devices at each site. A grace period of 10 minutes applies to the start time. Lateness beyond the grace period is handled under the penalty table of the approved internal work regulation, starting with a written warning. An absence without an accepted reason is unpaid. No fine is applied before the employee has been heard, and fines may be applied up to 10 days' wage a month.

5.6 Remote and flexible work

Roles at Soudah are site-based. Remote work is not offered; temporary exceptions for personal circumstances need the Chief Human Resources Officer.

HR-06 Grades, Pay, Benefits and Promotion

Policy owner: Chief Human Resources Officer · Version 3.0

6.1 Pay structure

Jobs at Soudah are graded G04 to G15. Monthly pay is basic salary plus a housing allowance of 25% of basic and a transport allowance of 10% of basic. The housing allowance is paid monthly with salary. GOSI contributions are calculated on basic plus housing.

6.2 Day rate and proration

For joiners, leavers, unpaid days and leave pay, a day's wage at Soudah is the monthly wage divided by 30, whatever the length of the month.

6.3 Promotion eligibility

An employee is eligible for promotion after 12 months in grade with a rating of 3 or above in the last review. A promotion is normally one grade; basic salary moves to at least the new grade minimum and by at least 8%.

6.4 Promotion approval

The HR Business Partner approves one-grade promotions within the new grade range. Two-grade promotions, or salaries above the new grade midpoint, need the Chief Human Resources Officer.

6.5 Education allowance

Soudah does not pay an education allowance or school fees. Employees may request a salary advance under HR-07 for school fees.

6.6 Medical insurance

Soudah provides cooperative health insurance at class B for every employee, spouse and children under 25 (unmarried daughters at any age), from the first day of employment. Cover follows the Council of Health Insurance essential benefits as a minimum. Cards are issued through HR Operations; claims and approvals go through the insurer's app.

6.7 Annual bonus

The target annual bonus at Soudah is 10% of annual basic salary for a rating of 3, from 0% at rating 1 to twice target at rating 5, subject to company results. It is paid in March to employees in service on the payment date with at least three months of service in the performance year.

6.8 Annual increases

Annual increases follow the merit matrix: rating 1, 0%; rating 2, 0%; rating 3, 3%; rating 4, 5%; rating 5, 7%. They take effect on 1 April, and an increase approved after that date is paid back to 1 April.

HR-07 Salary Advances

Policy owner: Payroll and HR Operations Lead · Version 1.2

7.1 Eligibility

Employees with at least 6 months of service at Soudah who have completed probation may request a salary advance. Only one advance may be outstanding at a time.

7.2 Amount and repayment

An advance is up to one month's basic salary, repaid in equal monthly deductions over up to 10 months. Advances are interest-free and carry no fees.

7.3 Deduction limit

An advance instalment may not exceed 10% of the monthly wage; if the requested amount and term would breach this, the amount is reduced or the term lengthened within policy. All deductions together may not exceed 50% of the wage. Recovery is set up with the employee's written acknowledgement.

7.4 Approval and exceptions

The line manager supports and HR Operations approves advances within policy. Anything above policy (amount, term or a second advance) goes to the Chief Human Resources Officer. Any balance outstanding on leaving is recovered from the final settlement.

HR-08 HR Letters and Certificates

Policy owner: HR Operations · Version 2.2

8.1 Standard letters

Salary letters, employment letters, NOC letters (for travel, visas or a driving licence) and embassy letters are issued from HRMS data on request within 24 working hours, signed digitally by HR Operations.

8.2 Salary transfer letters

A salary transfer letter commits Soudah to pay salary and end-of-service benefits to one named bank, typically for a loan or credit card. It is issued only after HR Operations approval and only to one bank at a time.

8.3 Experience letters and service certificate

At the end of service, on request, the employee receives a service certificate free of charge stating the start and end dates, last position and last wage. It may not contain anything that harms the employee's reputation or reduces their job prospects.

HR-09 Performance Management

Policy owner: Chief Human Resources Officer · Version 2.4

9.1 Performance year

The performance year is the calendar year. Goals are agreed by 31 January, the mid-year review closes by 31 July and the year-end review closes by 31 January of the following year.

9.3 Rating scale

Ratings are 1 (does not meet) to 5 (exceptional). As a guide, no more than 15% of a division is rated 5 and about 60% sits at 3.

9.4 Calibration

Ratings are calibrated by division before they are shared. The calibration panel, chaired by the HR Business Partner, may change a rating and records the reason.

9.6 Performance improvement

An employee rated 1, or with a documented performance concern, receives a documented performance improvement plan of at least 60 days with written objectives and regular reviews before any termination for performance.

HR-10 Payroll, Mudad and GOSI

Policy owner: Payroll and HR Operations Lead · Version 2.5

10.1 Pay date

Salaries are paid in SAR on day 27 of each month through the Mudad wage protection system, to the employee's bank account. If day 27 is not a working day, salaries are paid on the previous working day. Payroll inputs close on day 18; changes after the cut-off are paid in the next month.

10.2 Pre-run checks

Every payroll run is checked before release: variances against the previous month, joiners, leavers, promotions, unpaid leave, advances, deductions and GOSI. Every finding is fixed or explained before the run is released.

10.4 GOSI contributions

GOSI contributions follow the employee's insured group and the rates in force. The contribution wage is basic plus housing, capped at SAR 45,000 a month. The employee's share is deducted from salary. For non-Saudi employees the employer pays 2% for occupational hazards.

HR-11 End of Service

Policy owner: Payroll and HR Operations Lead · Version 2.0

11.1 End-of-service award

When the contract ends, Soudah pays an end-of-service award of half a month's wage for each of the first five years of service and one month's wage for each year after that, pro rata for part years. It is calculated on the last wage: basic plus the fixed monthly allowances.

11.2 Resignation entitlement

An employee who resigns receives no award with less than two years of service, one third of the award for two to five years, two thirds for five to ten years, and the full award after ten years. The full award is paid if a woman resigns within six months of marriage or three months of giving birth, or the employee leaves for force majeure.

11.3 Saudi nationals: GOSI and SANED

The end-of-service award is paid in addition to, and does not replace, GOSI pension rights. Eligible Saudi employees whose employment ends for reasons outside their control may claim SANED unemployment benefit through GOSI.

11.5 Final settlement

The final settlement covers salary to the last working day, pay for unused annual leave, and the end-of-service award, less amounts owed such as an outstanding advance. Soudah pays it within one week of the end of employment when Soudah ends the contract, and within two weeks when the employee resigns.

HR-12 Resignation, Termination and Exit

Policy owner: Chief Human Resources Officer · Version 2.3

12.1 Notice periods

For indefinite contracts, notice is 60 days when Soudah ends the contract and 30 days when the employee does. For grades G11 and above the contract sets 60 days for both parties. Notice may be waived by agreement or paid in lieu.

12.2 Resignation

An employee resigns in writing through the HR system or to the line manager. If Soudah does not respond within 30 days the resignation is deemed accepted. Soudah may defer acceptance for up to 60 days for business reasons, giving the reason in writing.

12.4 Termination by the company

Soudah ends employment only for a valid reason. Termination for performance follows a completed improvement plan under HR-09 §9.6. Dismissal without notice or award is only for the cases in Art. 80, after an investigation. If a contract is ended without a valid reason, compensation under Art. 77 is due. The Chief Human Resources Officer and Legal approve every termination.

12.5 Protected situations

Employment is not ended during maternity leave, during illness arising from pregnancy or childbirth, during sick leave within the statutory entitlement, or because of a complaint in progress made in good faith.

12.7 Exit formalities

Before the last day the employee completes handover and clearance. HR Operations closes the contract on Qiwa and the GOSI registration, removes system access on the last working day, and issues the service certificate. For expatriates HR Operations issues the final exit visa through Muqeem, or supports a transfer of service to a new employer on Qiwa; an exit/re-entry visa already issued is cancelled.